

2026-27 Australian Federal Budget preview

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By Pat Bustamante

Senior Economist, Westpac

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- We expect a \$23.8bn underlying cash deficit in FY2026, an improvement of around \$13bn relative to the 2025-26 MYEFO. Parameter variations, primarily reflecting higher-than-assumed commodity prices, are expected to deliver a net boost of around \$27bn over the four years to FY2029.
- Policy decisions are expected to subtract around \$2bn from the bottom line over the same period (and deliver a small net save over the five years to FY2030). While the net impact is modest, the underlying measures are significant, including major reforms to the NDIS and further investment in defence capability.
- Execution will be critical. Delivering on structural spending commitments, particularly in defence, without achieving offsetting savings in areas such as the NDIS risks a material deterioration in the fiscal position. Productivity gains will help reduce any risk of a deterioration with measures aimed at reducing red tape, harmonising occupational licensing across states, and accelerating approvals processes all helping to boost productivity.
- As a net energy exporter, higher energy commodity prices will unambiguously boost national income. Governments can use the tax and transfer system to redistribute some of these gains within the existing fiscal envelope. However, any additional net stimulus risks adding to inflation pressures and complicating the monetary policy outlook.

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